

cover story RISING PRICES

BHASKAR PAUL



FEELING THE PINCH: Consumers at a Big Bazaar store in Mumbai

norms have led to high consumption of vegetable oils and a boom in prices. The shortfall in edible oils of around 5.5 million tonne and high prices is being met by custom duty cuts on crude palm oil by 32 per cent, sunflower oil by 42 per cent and soybean oil by 11 per cent in a single year. But with vegetable oil consumption slated to expand by 6-7 per cent annually over the next five years, the shortfall is expected to widen.

Planning Commission deputy chairman Montek Singh Ahluwalia is banking on increased foodgrain production during the 11th Five Year Plan period to deliver salvation. He says, "Inflation is a serious concern and the short-term measures taken by the UPA Government to tame it will start yielding results in four months."

There are no such mantras for manufacturing. A slowdown in industrial production after a burst

K.L. THOMAS FORMER BANK EMPLOYEE, IDUKKI, KERALA

TRAVEL: Had gotten used to moving around by car but rising fuel prices have made him switch to a motorbike for local travel

LIFESTYLE: The Thomas family has cut down the purchase of meat and fish. For the last four months, the family members have been cultivating vegetables at home so that their major expenses on food are curtailed. The family has also started doing their laundry by themselves.

FUEL: Could manage his fuel expenses with Rs 1,000 per month four years ago but now, even Rs 4,000 is not enough. The electricity bill alone is Rs 1,000, up from Rs 400 in 2004.

"I plan to go to the US and work there for two years. Only then will my income be able to keep up with the skyrocketing prices."

by Saritha S. Balan

NANDAKUMAR

